

PAPER 4: THE COST OF THE CURRENT SYSTEM

The Genesis Civilisation Papers — Paper 4 of 10

Genesis Monetary Systems — Non-Profit

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Section 1: Accounting For The Full Cost

The current global financial system has produced genuine and measurable achievements. Over the past seventy-five years global GDP has grown from approximately \$5 trillion to over \$105 trillion. Life expectancy has increased in virtually every region on earth. Technological development has accelerated at a pace without historical precedent. The proportion of the global population living in conditions classified as extreme poverty by conventional measures has declined substantially over the past three decades.

These achievements are real. They are not disputed here.

This paper asks a different and more precise question. What has the current system cost — in instability, in conflict, in suppressed human potential, in structural inequality baked into the architecture itself — that does not appear in the ledger of its achievements? A complete accounting of any system requires both sides of that ledger. The achievements column of the current global financial architecture has been extensively documented. The cost column has not received equivalent examination.

What follows is an attempt at that examination. It is conducted without political attribution, without national accusation, and without moral judgement of the actors operating within the system. The argument throughout is structural. Systems produce outcomes that reflect their design. When the outcomes are consistently and documentably harmful to the majority of participants the appropriate response is to examine the design — not to assign blame to those who inherited it, operated it, or benefited from it.

The financial layer of civilisation is not neutral. This paper examines what that non-neutrality costs.

Section 2: The Currency That Nobody Chose

The majority of international trade conducted between sovereign nations — nations with their own currencies, their own central banks, their own monetary systems representing the economic decisions of their own populations — is settled in a currency that belongs to neither party in the transaction.

A manufacturer in one country sells goods to a buyer in another. Both countries have functioning currencies. Both currencies are legal tender within their respective borders, managed by their respective central banks, representing the monetary sovereignty of their respective governments. In the overwhelming majority of cases neither currency is involved in settling the transaction between them. Both parties must acquire, hold, and transact in a third currency — one they did not choose, issued by a government that is not theirs, managed by a central bank whose mandate serves a population neither party belongs to.

This arrangement is so embedded in the infrastructure of international commerce that it is rarely examined as a choice. It is treated as a feature of how global trade functions — as natural as the existence of international shipping lanes or cargo containers. It is not natural. It is an architectural choice made at a specific historical moment by specific actors operating at the

peak of their relative power. It persists not because it is the most efficient or most equitable mechanism available to the global economy but because the infrastructure constructed around it — correspondent banking networks, commodity pricing conventions, sovereign reserve holdings, international debt issuance standards — creates switching costs that are themselves a structural barrier to change.

The consequences of this arrangement are documented and measurable.

To participate in international trade, nations must hold reserves in a currency they do not control. Those reserves represent real national wealth — the accumulated product of economic activity and export earnings — held in an instrument whose value is determined entirely by the monetary policy decisions of a foreign government and a foreign central bank. When that foreign central bank raises interest rates to manage its own domestic inflation the consequences — capital outflows, exchange rate pressure, increased debt service costs on dollar-denominated obligations — are transmitted to every nation holding those reserves and every nation whose debt is denominated in that currency. Regardless of those nations' own economic conditions. Regardless of their own policy choices. Regardless of any democratic mandate their own governments hold.

The Bank for International Settlements, in its annual reports, documents the transmission of monetary policy decisions from the world's dominant reserve currency issuer to the broader global economy. The mechanism is described in technical language as spillover effects and cross-border monetary transmission. In plain language it means that the central bank of one nation effectively sets monetary conditions for a significant portion of the rest of the world — without any mandate from those nations, without accountability to their populations, and without any mechanism for their input into the decisions that affect them.

This is not presented here as an accusation. It is a structural description of how the system operates. The actors at the centre of this arrangement did not design it to harm others. They designed it to serve their own interests at a moment when they had the power to do so. The harm to others is structural — an output of the design rather than an intention of the designers. The cost it imposes on the majority of the world's nations and the majority of the world's population is real, continuous, and invisible on any official ledger. It is simply the permanent background cost of participating in the global economy on terms that were not designed with the majority's interests in mind.

Section 3: Financial Architecture As Geopolitical Instrument

Access to the global financial system is not guaranteed. It is granted and it can be revoked.

SWIFT — the Society for Worldwide Interbank Financial Telecommunication — is the messaging infrastructure through which the vast majority of international financial transactions are coordinated. It connects over 11,000 financial institutions across more than 200 countries. It is incorporated in Belgium and formally governed as a cooperative. Its board includes representatives from financial institutions across multiple jurisdictions.

In February 2022 a subset of nations were removed from SWIFT. The removal was coordinated by a group of governments acting in response to a geopolitical event. The practical consequence was that the targeted nations' financial institutions could no longer communicate through the dominant international payment messaging infrastructure. International trade,

cross-border payments, and financial flows denominated in major currencies became substantially more difficult to execute.

This paper takes no position on the geopolitical circumstances that produced that decision. The observation relevant to this analysis is structural. A payment infrastructure that can be used as a geopolitical weapon by some actors against others — regardless of the justification in any specific instance — is not a neutral financial layer. It is an instrument of power. An instrument of power in the hands of specific actors will be used in the interests of those actors. That is not a criticism of the actors. It is a description of the instrument.

The International Monetary Fund provides emergency financing to sovereign nations facing balance of payments crises. This function is valuable and in many instances has prevented economic collapses that would have caused severe harm to civilian populations. The IMF also attaches conditions to its financing — structural adjustment requirements that have historically reflected the economic orthodoxies of its largest shareholders rather than the developmental priorities of the borrowing nations. The IMF's voting structure weights decision-making power by financial contribution. Its largest shareholders hold the largest votes. The institution is not neutral. It is governed by the interests of its dominant members, as any institution governed by its funders necessarily is.

Credit rating agencies — the private firms whose assessments of sovereign creditworthiness determine the interest rates at which nations can borrow — operate without democratic mandate or international accountability. Their ratings influence the borrowing costs of sovereign governments serving hundreds of millions of people. The agencies' historical record includes systematic failures in assessing risk in complex financial instruments prior to the 2008 financial crisis. Their assessments of sovereign risk are influenced by factors beyond pure economic fundamentals — including geopolitical relationships, policy orthodoxy relative to dominant institutional preferences, and the degree to which a nation's economic policy conforms to frameworks endorsed by the major financial centres.

The United Kingdom provides an instructive domestic example of how financial architecture shapes outcomes independently of democratic choice. The Bank of England sets interest rates that determine mortgage costs for millions of British homeowners, business borrowing costs across the economy, and the government's own debt service costs — through a mechanism that is deliberately insulated from democratic accountability. The independence of central banks from elected governments is presented as a technical necessity for effective monetary management. It is simultaneously a structural choice that places one of the most consequential levers of economic life beyond the reach of democratic decision-making. The Bank of England's decisions on quantitative easing, interest rates, and financial stability directly affected the fiscal position of the UK government — and therefore the public services available to UK citizens — without those citizens having any meaningful democratic input into those decisions.

This is not unique to the United Kingdom. It is the standard architecture of monetary governance across the developed world. It is noted here not as criticism of central bank independence as a concept but as an illustration of how financial architecture shapes outcomes in ways that democratic processes cannot easily reach or correct.

The pattern across SWIFT access, IMF conditionality, credit rating assessments, and central bank governance is consistent. The actors with the most influence over the financial architecture that shapes outcomes for the majority of the world's population are the least accountable to that

majority. The financial layer is not neutral. It is governed. And the governance reflects the interests of the governors.

Section 4: Wars With Financial Architecture Beneath Them

The relationship between financial architecture and armed conflict is among the least examined dimensions of the geopolitical landscape and among the most consequential.

This section makes no accusations. It makes a structural observation supported by a pattern in the data that serious academic literature has examined extensively and that warrants inclusion in any complete accounting of the current system's costs.

The geographic distribution of the world's major armed conflicts over the past half century correlates with the geographic distribution of strategically significant resources — hydrocarbons, minerals, agricultural land, water systems, and the maritime and terrestrial routes through which those resources move from extraction to consumption. This correlation is not perfect. Conflicts have multiple causes — historical grievances, ethnic tensions, political competition, ideological struggle. The financial architecture beneath many of the most persistent and most destructive conflicts is rarely the subject of political discourse about those conflicts. It is nonetheless present.

Resource pricing, trade route control, and the currency denomination of commodity transactions create financial interests in the political conditions of resource-producing regions. Those financial interests create structural incentives — not necessarily conscious or coordinated — for interventions, for the support of particular political factions, for the destabilisation of governance structures that threaten existing arrangements, and for the maintenance of political conditions that keep resource flows stable and favourably priced.

The countries most frequently subject to external political and military intervention over the past half century share several characteristics. They possess significant quantities of strategically valued resources. Their political independence creates tension with the interests of actors who benefit from access to those resources on favourable terms. Their integration into the global financial system — through dollar-denominated debt, through dependence on IMF financing, through reliance on SWIFT-connected correspondent banking — creates leverage points through which external pressure can be applied without direct military action.

None of this requires a conspiracy. It requires only that actors with financial interests in political outcomes use the instruments available to them to pursue those interests — as all actors with interests and instruments do. The financial architecture of the current system provides instruments of extraordinary reach and power. It should not be surprising that those instruments are used.

The cost of this dimension of the current system falls overwhelmingly on the populations of the countries in which the consequences are most directly felt. The financial beneficiaries of resource access and commodity pricing arrangements are not the populations living above those resources. The structural design of the current system ensures that the benefits and the costs of resource-related conflict are distributed in precisely opposite directions.

A financial architecture that creates structural incentives for resource control necessarily creates structural incentives for the conflicts that resource control produces. Redesigning the architecture does not eliminate all causes of conflict. It eliminates one of the most persistent and least acknowledged structural contributors to it.

Section 5: The Inequality The Architecture Produces

The inequality documented in Papers 2 and 3 — the differential borrowing costs, the hidden obligations, the compounding debt trap — is one dimension of the structural inequality embedded in the current financial architecture. It is not the only one.

The reserve currency premium allows the issuing nation to run structural fiscal deficits that would be unsustainable for any other sovereign. The permanent artificial demand for reserve currency assets — created by the requirement that other nations hold those assets to participate in international trade — effectively subsidises the fiscal position of the issuing government at the expense of the nations whose reserve holdings create that demand. This is a transfer of real economic value from the majority of the world's nations to the issuing nation that occurs continuously, automatically, and without any formal acknowledgment or compensation. The intellectual property frameworks embedded in international trade agreements concentrate the returns from innovation in a small number of jurisdictions — primarily those that were most economically developed at the moment those frameworks were negotiated. Nations that are now developing their technological and industrial capacity operate within an intellectual property architecture that was designed before they had meaningful input into its terms and that systematically routes the returns from knowledge creation toward the jurisdictions that already possess it.

The capital mobility architecture of the current system allows financial capital to cross borders freely in pursuit of the highest available return while labour — the human capital of workers — cannot. The consequence is that capital can access low-cost labour markets anywhere on earth while workers cannot access high-wage labour markets with equivalent freedom. This asymmetry systematically advantages capital holders over labour providers — a structural feature of the architecture rather than an outcome of individual market decisions.

Tax architecture — both the international frameworks governing corporate taxation and the bilateral treaty networks through which capital flows are structured — creates legal mechanisms for the separation of economic activity from tax obligation. Corporations generating revenues from customers in one jurisdiction, using infrastructure funded by the taxes of that jurisdiction's citizens, can structure their affairs to record profits in jurisdictions with minimal tax obligations. This is legal. It is the designed output of a tax architecture negotiated primarily by the governments of the jurisdictions that benefit from it. Its cost is borne by the public finances of the jurisdictions whose tax base is eroded by it — disproportionately the developing economies with the least leverage in the negotiations that produced the framework.

The pattern across reserve currency premium, intellectual property frameworks, capital mobility asymmetry, and tax architecture is the same pattern identified in Sections 2 and 3. The actors with the most influence over the design of these frameworks are the actors who benefit most from the resulting design. The costs fall systematically on the actors with the least influence over the design. This is not accidental. It is the predictable output of a design process in which power and interest determine the outcome.

Section 6: The Human Cost

The mechanisms described in Sections 2 through 5 are not abstract. They have human expressions that are documented, measurable, and directly traceable to the architectural choices examined in this paper.

Almost half the people on earth live in countries where government interest payments now exceed spending on either health or education. The resources exist within those government budgets. They are allocated to debt service rather than to the citizens whose labour generated them — not by political choice in the conventional sense but because the architecture of accumulated debt and differential borrowing costs produces that allocation mechanically. Approximately 2.2 billion people lack access to safe drinking water. Approximately 800 million people experience food insecurity. Approximately 1 billion people lack access to electricity. These are not conditions produced by the absence of global productive capacity. The world produces sufficient food to feed its entire population. The engineering knowledge to provide clean water and reliable electricity to every person on earth exists. The material resources required to do so exist. What does not exist — within the current financial architecture — is the routing of capital toward these outcomes at the scale and speed required to address them. Capital flows toward the highest financial return. The highest financial return in the current architecture is not produced by providing clean water to rural communities in sub-Saharan Africa or reliable electricity to populations in South Asia. It is produced by financial instruments, real estate in capital cities, technology platforms serving already-wealthy consumer markets, and resource extraction in jurisdictions with weak regulatory capacity. The architecture routes capital away from the highest human return and toward the highest financial return. The human cost of that routing is the gap between the world as it is and the world that current productive capacity could produce.

The United Kingdom provides a specific and proximate example of how financial architecture produces human costs at the domestic level. The UK government in 2025 spent approximately £129 billion servicing its debt obligations. In the same year the National Health Service reported waiting lists of over 7 million people. Infrastructure investment has been systematically deferred across multiple spending review cycles. The £129 billion interest payment did not purchase a single hospital bed, a single infrastructure project, or a single improvement in the public services that the taxes generating it were levied to provide. It was the cost of maintaining the current position — transferred to financial creditors rather than deployed in the economy that generated it.

This is not a critique of any political decision. It is a description of what debt architecture produces when it reaches the scale documented in Papers 2 and 3. The human cost is not a side effect. It is a structural output.

Section 7: The Financial Layer Should Be Neutral

The evidence assembled in this paper supports a conclusion that does not require advocacy to reach. It follows from the structural observations alone.

A financial architecture in which the currency of settlement for the majority of international trade is chosen by the most powerful actor rather than by the parties to the transaction is not neutral. A payment infrastructure that can be used as a geopolitical instrument by some actors against others is not neutral. A credit assessment system governed by private entities accountable to no democratic mandate is not neutral. A capital mobility framework that advantages capital over

labour is not neutral. A tax architecture that routes returns from economic activity away from the jurisdictions generating it is not neutral.

The current global financial architecture is a power structure. It produces outcomes that reflect the interests of the actors who designed it and who have maintained it. Those outcomes include the differential borrowing costs of Paper 2, the hidden obligations of Paper 3, and the geopolitical instability, resource conflicts, and suppressed human potential documented in this paper.

This is not an argument that the actors who benefit from the current architecture are malicious. It is not an argument that the current system has produced no benefits — Section 1 acknowledged those benefits explicitly. It is the structural observation that a financial layer serving 8 billion people across 195 sovereign nations cannot justifiably be designed to serve the interests of any subset of them.

The financial layer of civilisation should respond to economic reality only. The productive capacity of an economy. The assets it holds. The obligations it carries. The trade flows it generates. It should not respond to historical power relationships. It should not respond to geopolitical alignment. It should not be weaponisable by any actor against any other. It should not create structural incentives for resource conflicts. It should not systematically route capital away from the highest human return.

This is not a utopian proposition. It is the logical extension of the principles that most nations nominally endorse within their own domestic financial systems — that markets should be fair, transparent, and accessible to all participants on equal terms — applied consistently at the global level.

The gap between that principle and the current reality is what this paper has documented.

Section 8: The Transition

This paper has examined what the current system costs beyond what appears in its official ledger. Papers 2 and 3 documented the debt — visible and hidden. This paper has documented the broader costs of the architecture that produced and perpetuates that debt — the currency arrangement that most of the world did not choose, the financial instruments used as geopolitical tools, the structural incentives beneath resource conflicts, the inequality embedded in the system's design, and the human outcomes those features produce.

Together Papers 2, 3, and 4 establish the complete diagnostic case. The current architecture is not merely in financial difficulty. It is structurally designed in ways that produce outcomes harmful to the majority of its participants — and structurally resistant to reform from within because the actors with the power to reform it are the actors whose interests the current design serves.

Paper 5 — Genesis Capitalism — does not extend the diagnosis. It pivots entirely. It makes the economic case — in the language of markets, capital allocation, and rational financial self-interest — for why a different architecture produces better outcomes for every actor in the current system. Including those currently at the top of it.

The case for change is not only moral. It is financial. Paper 5 makes that argument.

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